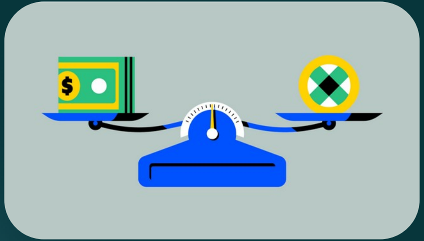
Econ 592

Stablecoins and the Future of Finance



Agenda

Section 1

What are Stablecoins?

What is a stablecoin?

Token issued on the blockchain

- Anonymous
- Accessible 24/7
- Avoids exchange rate fees
- Acts as a medium of exchange(trading, settling foreign payments, etc.)

Focused on being stable

- Emphasis on maintaining the same price(typically $1)
- Store of value(stable currency especially for those who don’t have easy access to USD)

Notable Stablecoins

Tether(2014)

- Backed by fiat currency reserves(1:1 ratio)
- Primarily U.S. treasury bills and dollars, but also offers pegging to Pesos(MXNt) and Euros(EURt)

Pax gold(2015)

- Stablecoin that was backed by gold
- 1 Token = 1 oz of gold(~4000$)
- Can be redeemed in U.S. dollars or physical gold

DAI(2017)

- Utilized crypto-backed elements to ensure stability
- Over-collateralization of other cryptocurrencies
- 1.70$ of Ethereum = 1 DAI token

TerraUSD(2018)

- Utilizes formulas and data to manage the supply
- Not a traditional backing
- No longer traded due to a collapse

BlockApps Gemini Investopedia

4 Types of Stable Coins

Fiat Collateralized

Holds reserves of currencies like U.S. dollars to secure their value(Tether)

Commodity Backed

Stablecoins that are backed by commodities like gold or oil. (Pax Gold)

Crypto Collateralized

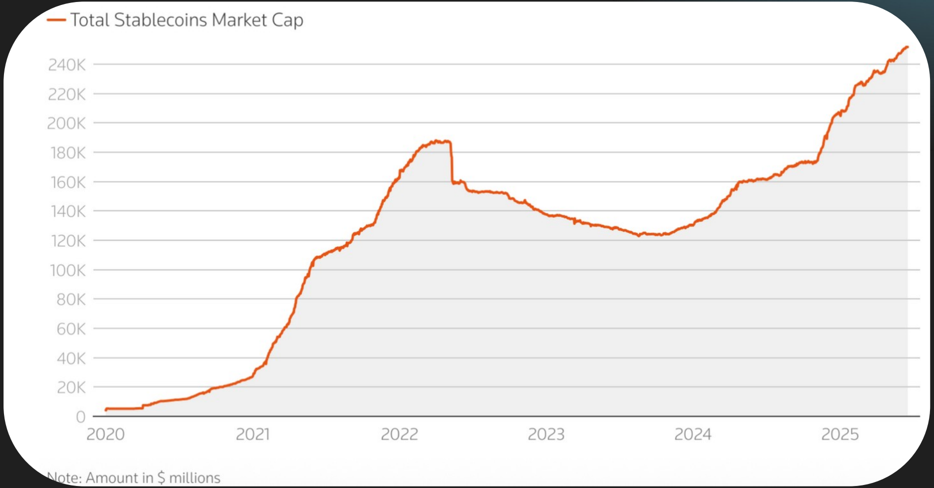
Stablecoins that are backed by other crypto currencies, due to crypto being volatile, the reserves are overcollateralized. (DAI)

Algorithmic

Not backed by reserves/assets. Algorithm that controls the supply to maintain stability. (TerraUSD)

Investopedia

Growth of Stablecoins



-Total value in circulation has skyrocketed since 2020 to around 240 billion in USD

-Dip in 2023-2024 comes from crashes of some stablecoins

-Circle lost billions of its pegged reserves in the collapse of SVB

-Investors lost confidence and started selling

-Highlights the adoption of stablecoins and investor confidence

-Indicates a greater demand and more trustworthy asset

-Regained investor trust through greater transparency, stronger reserves, and clearer regulatory frameworks

[Reuters](), [Coindex]()

Section 2

The Benefits and Risks of Stablecoins

Benefits of Stablecoins

Price Stability	Fast & Accessible Payments	Cross-Border Transactions
- Pegged to the U.S. dollar and other reserve assets - Reduces big price savings seen in coins like Bitcoin/ Ethereum	- Near-instant, low-cost cross-border transactions - Works 24/7, even when banks are closed	- Gives people in unstable economies access to digital dollars - Enables saving, lending, and trading without traditional banks

Gemini, Investopedia, Atlantic Council

Risks of Stablecoins

Unclear Rules

- Laws differ by country, no global standard
- Can cause confusion or misuse

Losing the $1 Peg

- Some coins break away from the dollar
- Can trigger panic and wipe out value

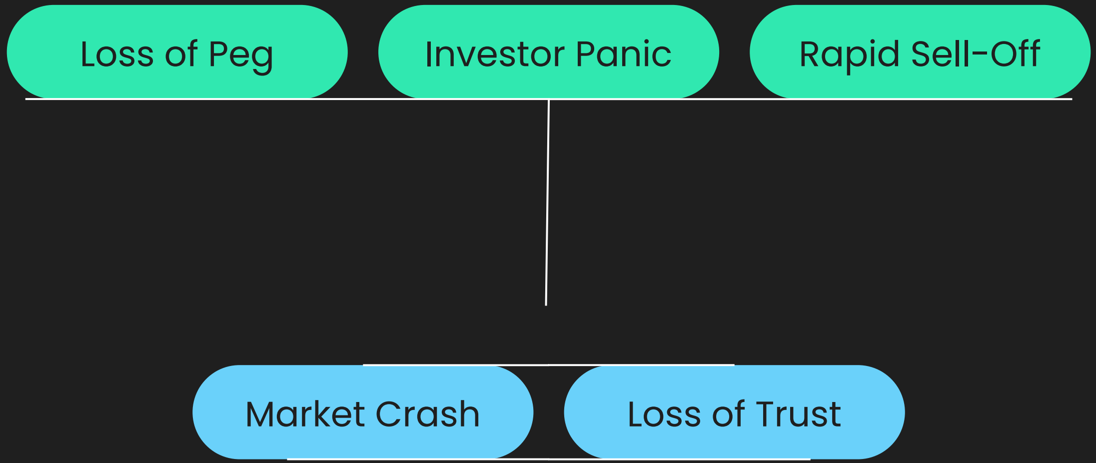
System & Security Risks

- Hacks or bad code can lead to losses
- Big sell-offs can shake other markets

Gemini, Investopedia, Atlantic Council

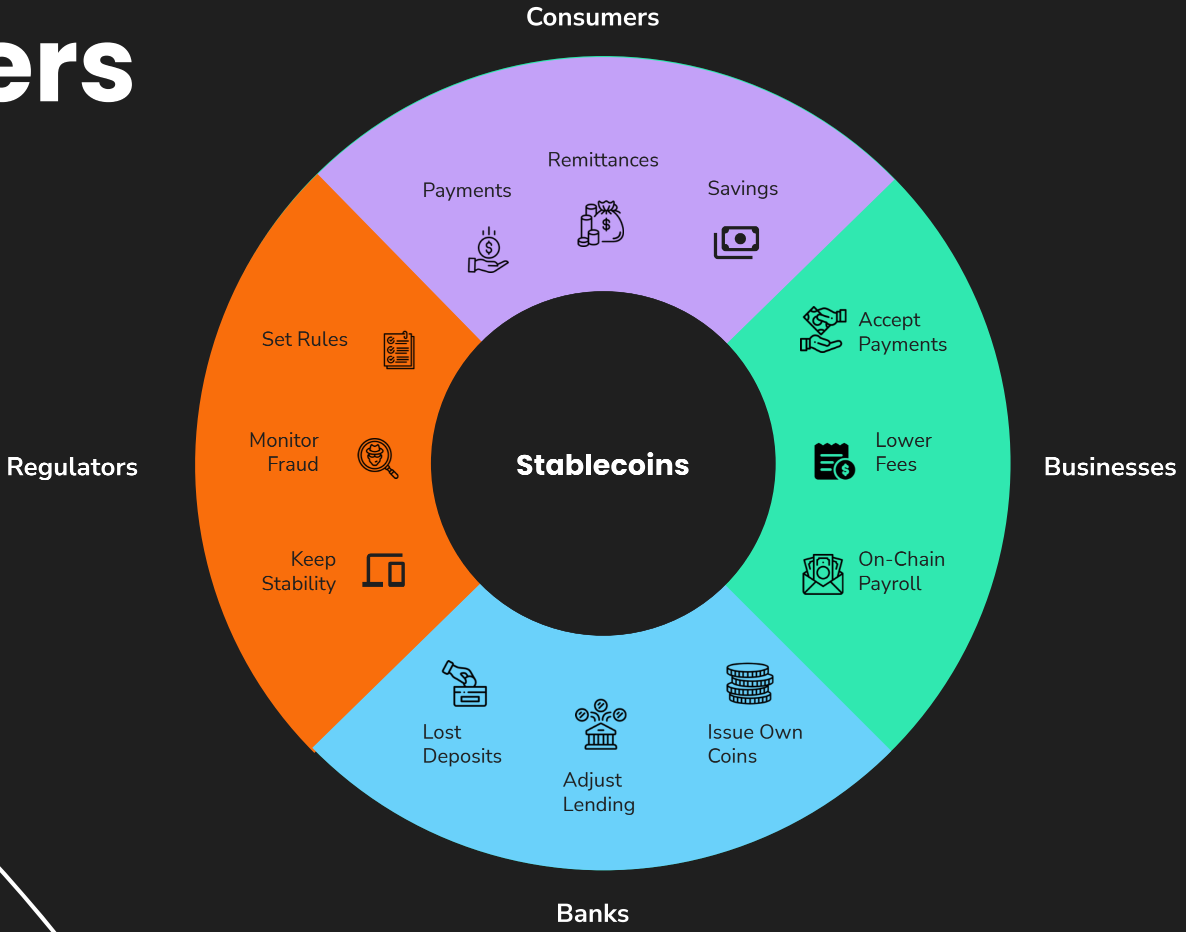
Case Study: TerraUSD Collapse (2022)

- Was **4th-largest stablecoin** ($18B)
- **Collapsed in May 2022** in days
- Billions lost; caused ripple effect in crypto markets
- Backed by **LUNA**, another cryptocurrency



Investopedia, Atlantic Council

Stakeholders in the Stablecoin World



Gemini Investopedia Atlantic Council

Section 3

Consumers and Global Finance

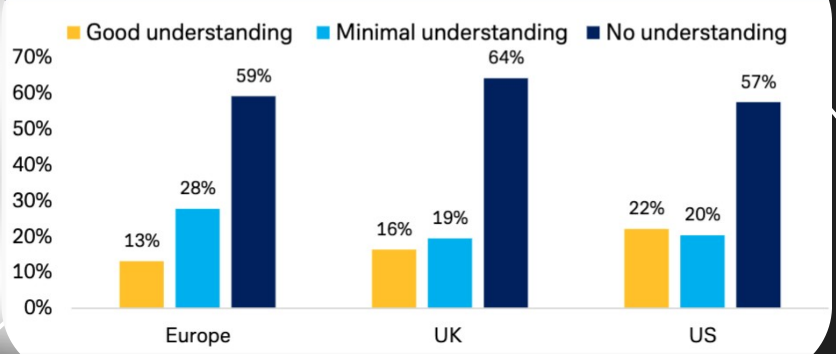
Consumer Adoption

-Limited understanding

-Mostly a store of value

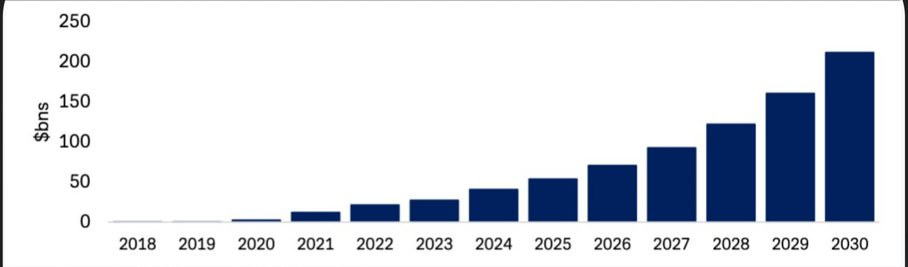
-Retail adoption is the most distant/difficult use case, but has potential

What level of understanding, if any, do you have of stablecoins?



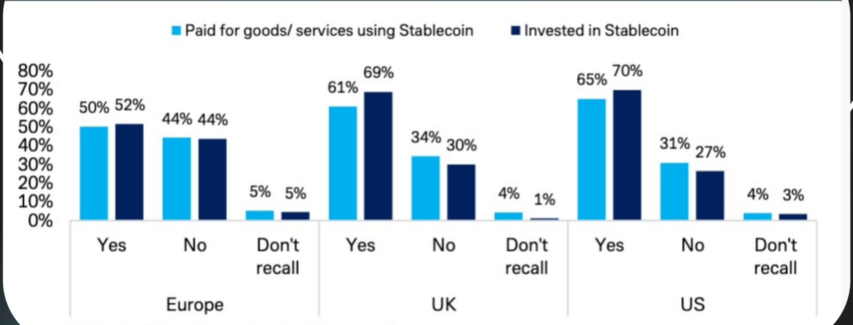
rce: dbDataInsights, Deutsche Bank Research.

DB Research's stablecoin retail volume forecasts**



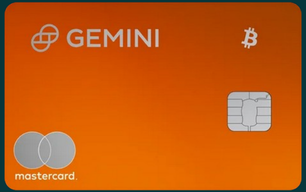
Source: Deutsche Bank Research, Visa Chain Analytics.
Retail sized transactions are defined as transactions of $250 or less, according to Visa Chain Analytics.
Weighted average growth forecast of 32%.

Have you ever...



rce: dbDataInsights, Deutsche Bank Research.

US corporations



Gemini

-Crypto credit card
-Spend US dollars, earn stablecoin rewards
-Recent partnership with Ripple and Mastercard
-Testing spending stablecoins with GUSD

Stripe

-Allows customers to pay using stablecoins
-Payments settle in fiat currency
-Can hold stablecoins in financial accounts
-Send and receive stablecoins globally

J.P. Morgan

-Issued JPMD, a stablecoin adjacent deposit token
-Represents a customers funds
-Offers interest payouts, unlike most stablecoins

Circle

-Issues USDC and EURC
-International wires and bank transfers in more than 185 countries
-Earn interest on the reserves they hold to back the coins

PayPal

-Issues PYUSD
-Users can buy in app and earn 4% rewards if they hold it
-Can convert and buy other crypto currencies supported in the app
-Can use it to pay where PayPal is accepted

Dlnews, Gemini, Stripe, J.P. Morgan, Circle, PayPal

Non-US Corporations

BVNK - UK

-Move money internationally instantly
-Build stablecoin payment tools for businesses
-Simple conversion between fiat and stablecoins

RedotPay - Hong Kong

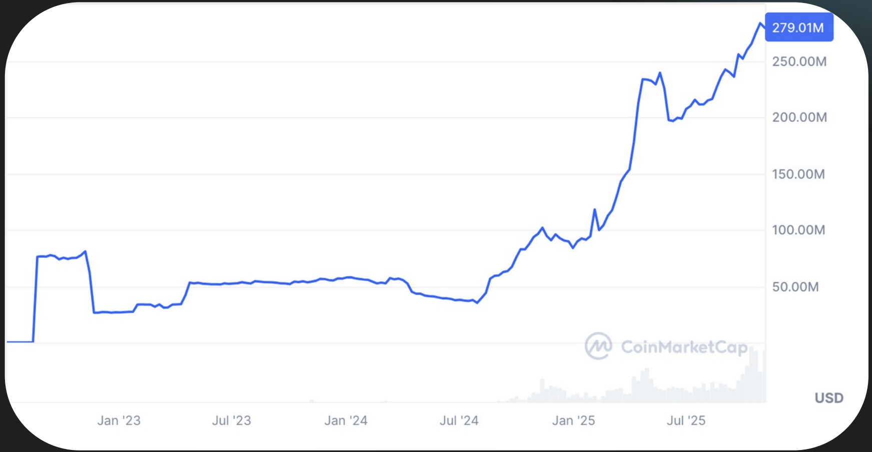
-Spend stable coins via worldwide networks (visa/mastercard)
-Send crypto, recipients get local fiat currency
-Deposit fiat currency, instantly switch to stablecoins

ANZ Bank - Australia and New Zealand

-Issues A$DC
-Bank issued, rather than fintech
-Not intended for investment
-Used for transactions

BVNK, RedotPay, ANZ

EURC – Euro backed stablecoin



-Reached roughly 279 million dollar market cap

-Largest share of total euro backed stablecoins

-Issued by Circle

-Accessible on multiple blockchains (digital ledger)

-100% backed by euro denominated assets (cash, highly liquid short term government securities)

Coinmarketcap

Global Finance

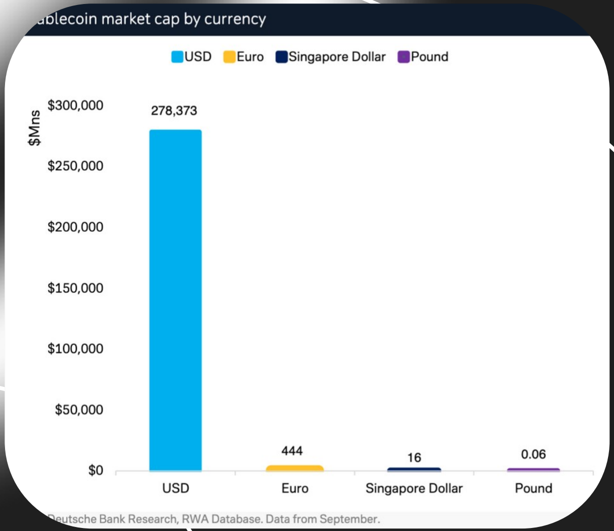
Benefits
-24/7 FX markets

-Could reduce transaction fees usually incurred from traditional bank transactions

-Could help minimize trapped cash in emerging markets and regions with high FX volatility

-Extend the dollars reach and influence since most stablecoins are dollar pegged, could create more demand

Macroeconomic risk: Speculation
-Monetary policy: Fed doesn't have direct control
-Money sits outside of the banking system
-Could push central banks to issue CBDCs



Section 4

Global and Policy Perspective

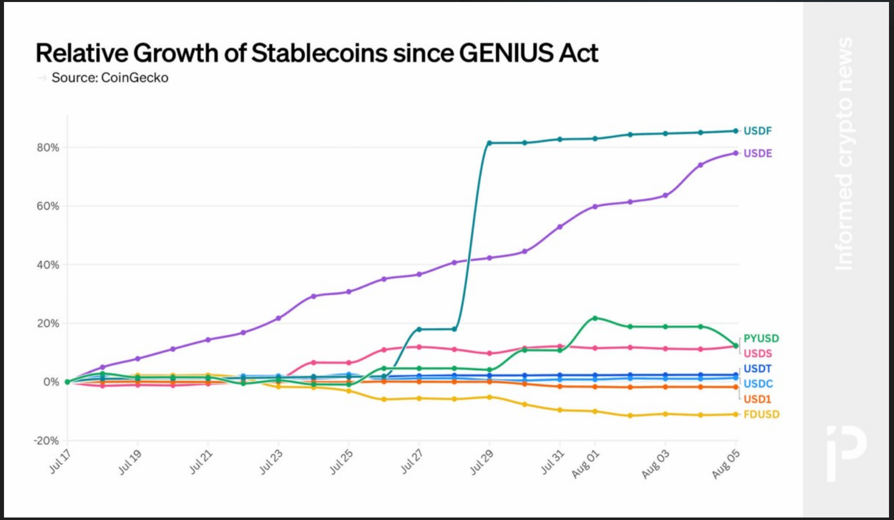
Genius Act

- **What it does:** First federal stablecoin framework in the U.S. (signed July 18, 2025); lets banks, fintechs, and big retailers issue dollar-pegged coins under clear rules.

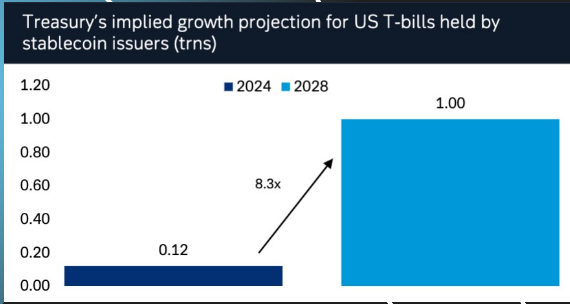
- **Core requirements:** Large issuers (over $10B) are overseen by the Fed/OCC, smaller ones by states. Coins must be fully backed by cash or safe assets in banks, not lent out, with frequent audited reserve reports.

- **New players & benefits:** Firms like JPMorgan, Citi, Amazon, and Walmart can issue regulated digital dollars with bank-style protections, sidestepping slow and costly banking and card rails.

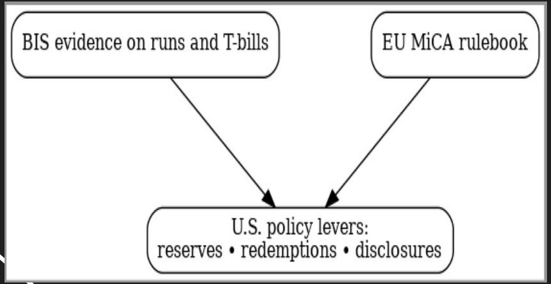
- **Risks & open questions:**
  - Multiple stablecoins may confuse users and enable rapid digital bank runs, raising contagion and bailout risks similar to the 1800s Free Banking Era.
  - If stablecoins get really big, they force issuers to buy tons of US Treasuries, which makes it easier for the US government to borrow and encourages even more debt.



Global Approach to Understanding and Regulating Stablecoins



- Recent BIS (Bank for International Settlements) studies show that disclosing stablecoin reserves can either calm or panic investors, so U.S. regulators are pushing stronger reserve transparency and bank-style stress tests.
- Large stablecoins hold so many T-bills, their inflows and outflows actually move short-term interest rates. So U.S. regulators now treat their reserves and redemptions as part of the money-market system, not just crypto.
- NBER (National Bureau of Economic Research) found only a small group of traders handle most redemptions. U.S. lens: who can mint/redeem, how fast, with what transparency.
- Europe already passed MiCA (Markets in Crypto-Assets), which is basically a full rulebook for crypto, including stablecoins. U.S. agencies are using that as a checklist, comparing their own ideas on reserves, governance, and redemption rights to the standards set by the EBA and ESMA.



How Stablecoins Affect Monetary Rates

- Reserves channel: inflows → more T-bill purchases → front-end yields ease; outflows/runs → asset sales → yields rise.
- Outflows during a run are sharper than inflows in calm times, and because only a few big firms handle redemptions, their selling hits the T-bill market very quickly.
- Policy levers: Disclosure Rules: Force issuers to clearly show what they hold, how safe it is, and how redemptions work. Liquidity Requirements: Make issuers keep reserves in very safe and liquid assets (cash, T-Bills)

Step 1

Stablecoin Flow: Money moves into or out of the stablecoin: People mint more coins (inflow), or redeem/sell (outflow).

Step 2

Reserve Adjustment: The issuer adjusts its reserve portfolio: Inflows → they buy more T-bills.
Outflows → they sell T-bills to get cash.

Step 3

Front-End Rates: Those buy/sell actions affect the price of short-term Treasuries: More buying → yields go down.
More selling → yields go up.

Step 4

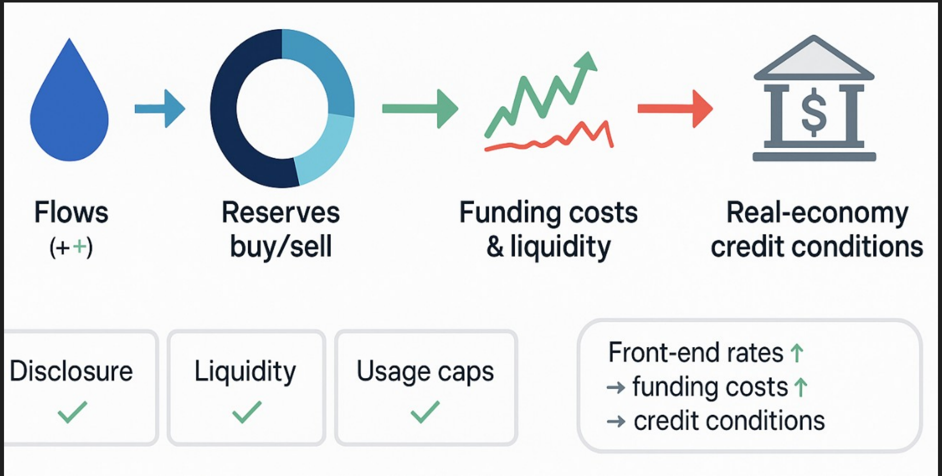
Amplifiers: Things that make the effect bigger or faster. Bad news about reserves, rumors, or disclosures can trigger runs (info shocks).

Step 5

Policy Levers: Regulators step in with rules to calm this whole chain:
Strong disclosure, Liquidity rules and Possibly usage caps so a single stablecoin does not become too systemically important.

What Stablecoins Do for the Economy

- Stablecoins can nudge short term interest rates up or down.
- If stablecoins are under stress (people redeeming), they pull cash out and dump T bills. That makes it harder and more expensive for others in money markets to borrow - funding costs go up, liquidity goes down.
- If stablecoins are seeing big inflows, they push cash into those markets by buying T bills. That makes borrowing a bit cheaper and keeps things liquid.
- Strengthen the dollar and spread dollarization around the world.



Where Stablecoins Are Not Allowed (or Restricted to Compliance)

China

Mainland China bans private stablecoins, with no legal market. Through Hong Kong and cross-border projects, it experiments with yuan stablecoins and the digital yuan to avoid falling behind the U.S.

UAE

DFSA (DIFC jurisdiction): The Dubai Financial Services Authority has banned the issuance of new stablecoins within its regulatory perimeter.

European Union

By March 31, 2025, EU crypto platforms had to stop letting people buy non-MiCA stablecoins. People could only sell the ones they already owned, and many of those coins were removed from normal trading lists.

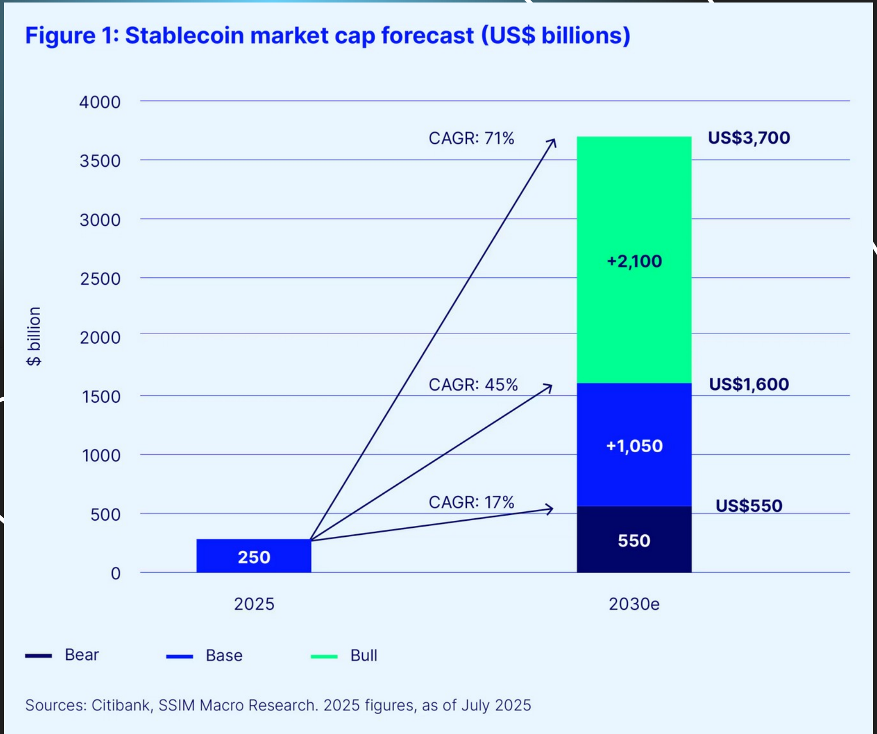
Section 5

Conclusion

What role will stablecoins play in the future?

- 24/7 cross-border transfers with low fees
- On-chain programmable cash bridging TradFi & DeFi
- Banks can embed stablecoins into payments & treasury
- With right regulations, stablecoins won't take away banks deposits
- From niche crypto use to a mainstream payment system
- Stablecoins may redirect global money flows by making international transfers faster and cheaper
- Could reshape currency demand and global liquidity

[What to Know About Stablecoins | J.P. Morgan Global Research]



Banks vs Stablecoin

- **Why they compete**
- ●Stablecoins offer faster, cheaper, programmable payments that challenge slow, fee-heavy bank rails (ACH, SWIFT).
- ●Corporate treasuries may shift liquidity from bank deposits to on-chain stablecoins.
- ●DeFi lending and tokenized assets could bypass traditional intermediaries. (Risky)

Why they compliment

●Banks can issue their own regulated stablecoins (JPM Coin, Signature's Signet, etc.).

●Stablecoins rely on bank custody, T-bills, and cash reserves — deepening the relationship.

●Combining banks' trust + stablecoins' efficiency creates a new hybrid model of finance.

[Federal Reserve Board]()

Key Takeaways

-Stablecoins Are Becoming Mainstream

- U.S. GENIUS Act, EU MiCA, and global banking rules push toward transparent, fully-backed, supervised stablecoins
- Creates a safer environment for banks, corporates, and consumers
- Designed to Complement Banks, Not Replace Them

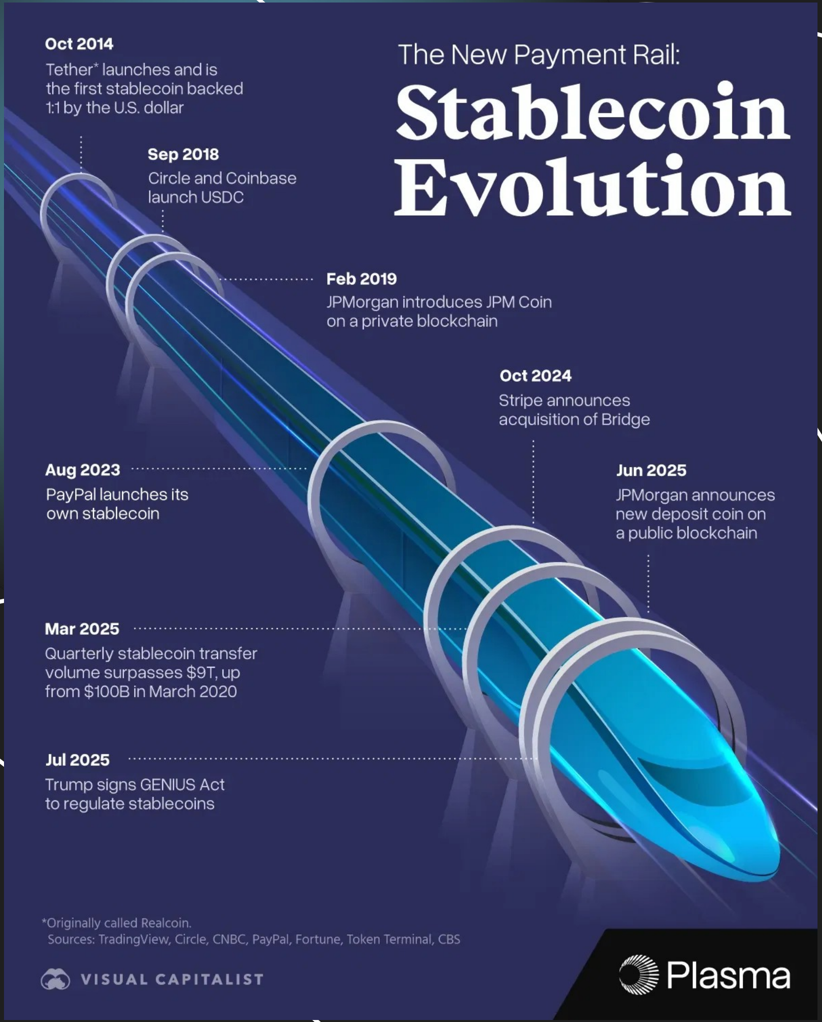
-Real Benefits for Businesses

- Reduce merchant fees and increase cash flow
- ❖ Useful for protecting value in countries with volatile currencies

-The Industry Is Converging

- Expect a two-tier system:
- Banks provide reserves, compliance and custody
- Blockchains handle settlement, programmability, and global reach
- Result: a hybrid financial system where stablecoins and banks work together

[Stablecoins' role in crypto and beyond: functions, risks and policy]()



Thank you!